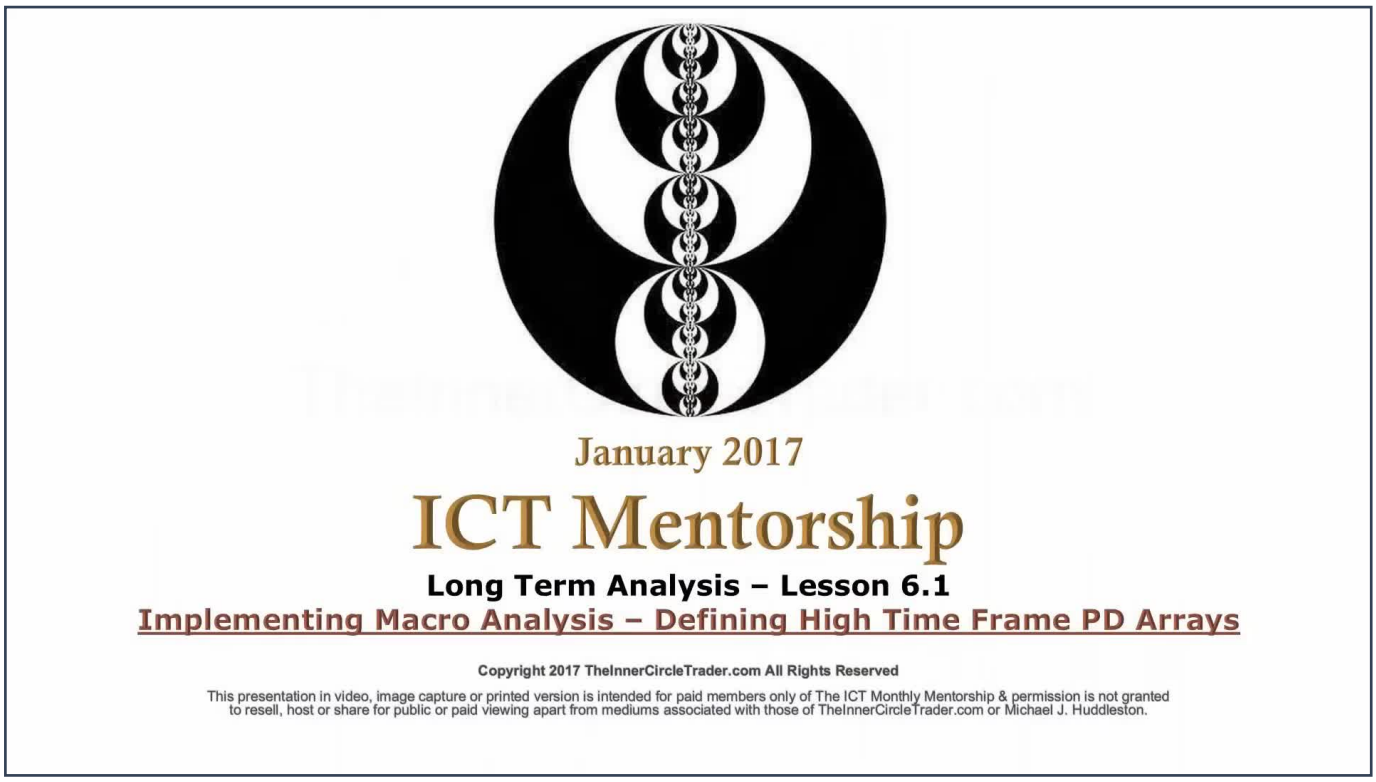
ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 05 - DEFINING HTF PD ARRAYS



Welcome to Lesson 6.1 of the January 2017 ICT Mentorship, focusing on defining High Time Frame (HTF) Price Delivery (PD) Arrays.

- When looking at a chart, traders typically think in terms of support/resistance, overbought/oversold, or price patterns.

- Fundamentally, price is perceived as either too low (cheap) or too high (expensive).

- The algorithm mirrors this, viewing markets as either a Premium or a Discount.

- For simplicity, a red line at the top can be considered resistance, and a blue line at the bottom, support. When price moves away from a support level, the natural expectation is for it to move higher towards a resistance point.

THE AMBIGUITY OF TRADITIONAL TECHNICAL ANALYSIS

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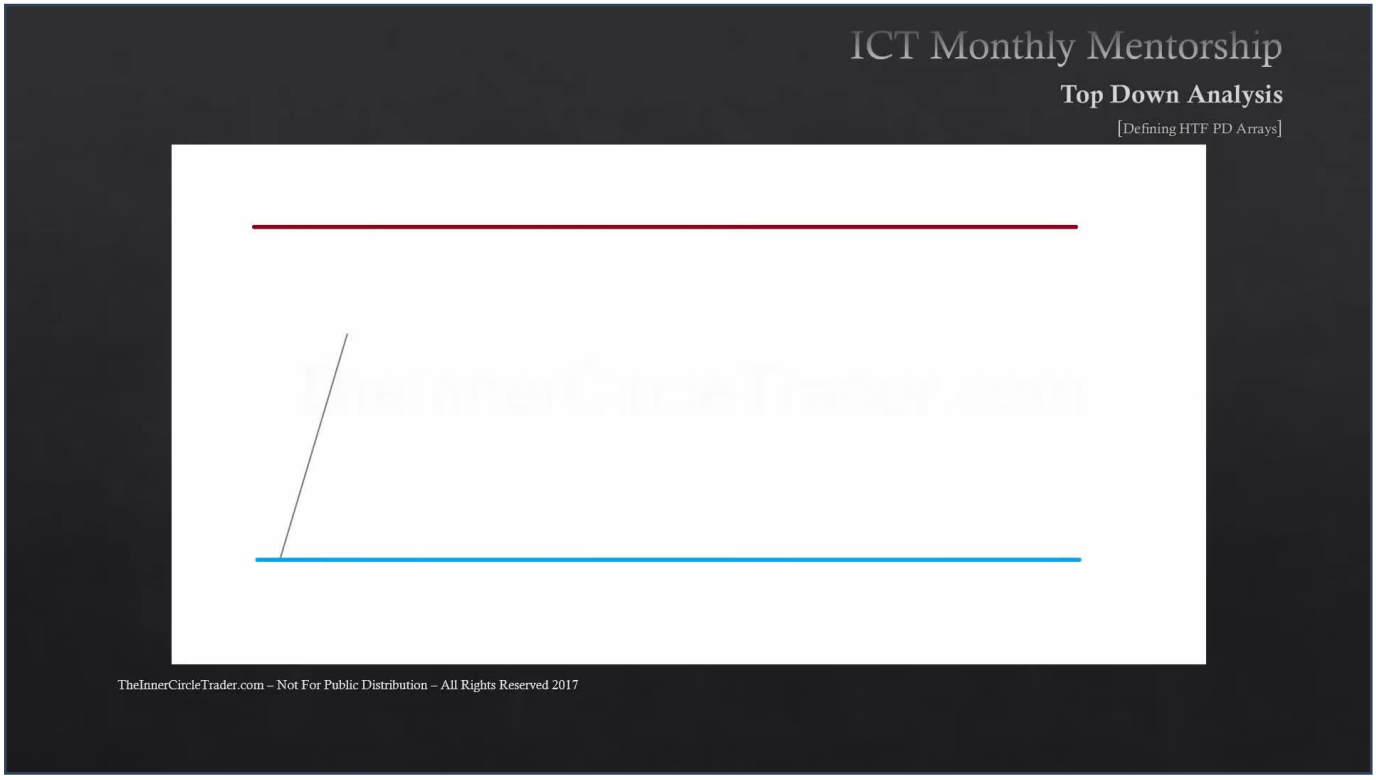

A significant problem with retail trading and traditional technical analysis is its inherent ambiguity.

- While many can identify a potential resistance level above current price, interpretations vary widely (e.g., an old low, an old high, or another resistance indicator).

- To remove this ambiguity, a structured mindset is required.

- This teaching outlines the hierarchy of tools (PD Arrays) used for framing trades, ensuring they are applied in an organized, rather than disorganized, fashion based on their specific hierarchy and how they are looked for in price.

- For example, different disciplines (Fibonacci, support/resistance, Elliott Wave, harmonic patterns) yield varied conclusions on retracement depths, or whether a move is a retracement or a reversal.

THE CHALLENGE OF PRICE DIRECTION AND RISK MANAGEMENT

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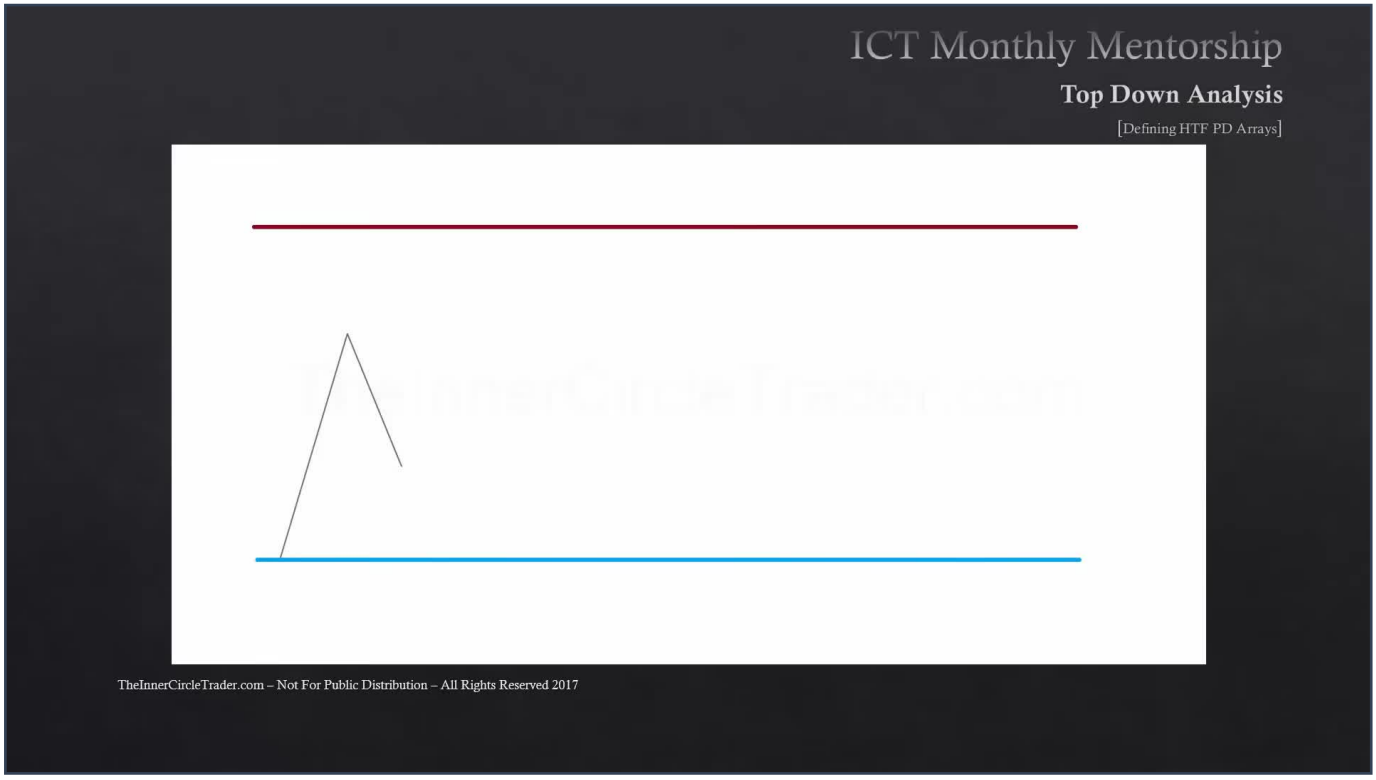

The central challenge for every trader is accurately predicting price direction (what is a support, what is a resistance, and what will propel price higher or lower).

- The common adage, 'If I knew where price was going next, I'd make money,' is false. Traders often find other ways to lose money through over-leveraging, breaking rules, or succumbing to emotional and psychological impacts, leading to blown accounts.

- True profitability requires more than just knowing direction; it demands submission to the two essential elements of trading: time and price.

FRAMING HIGH TIME FRAME CHARTS WITH PD ARRAY HIERARCHY

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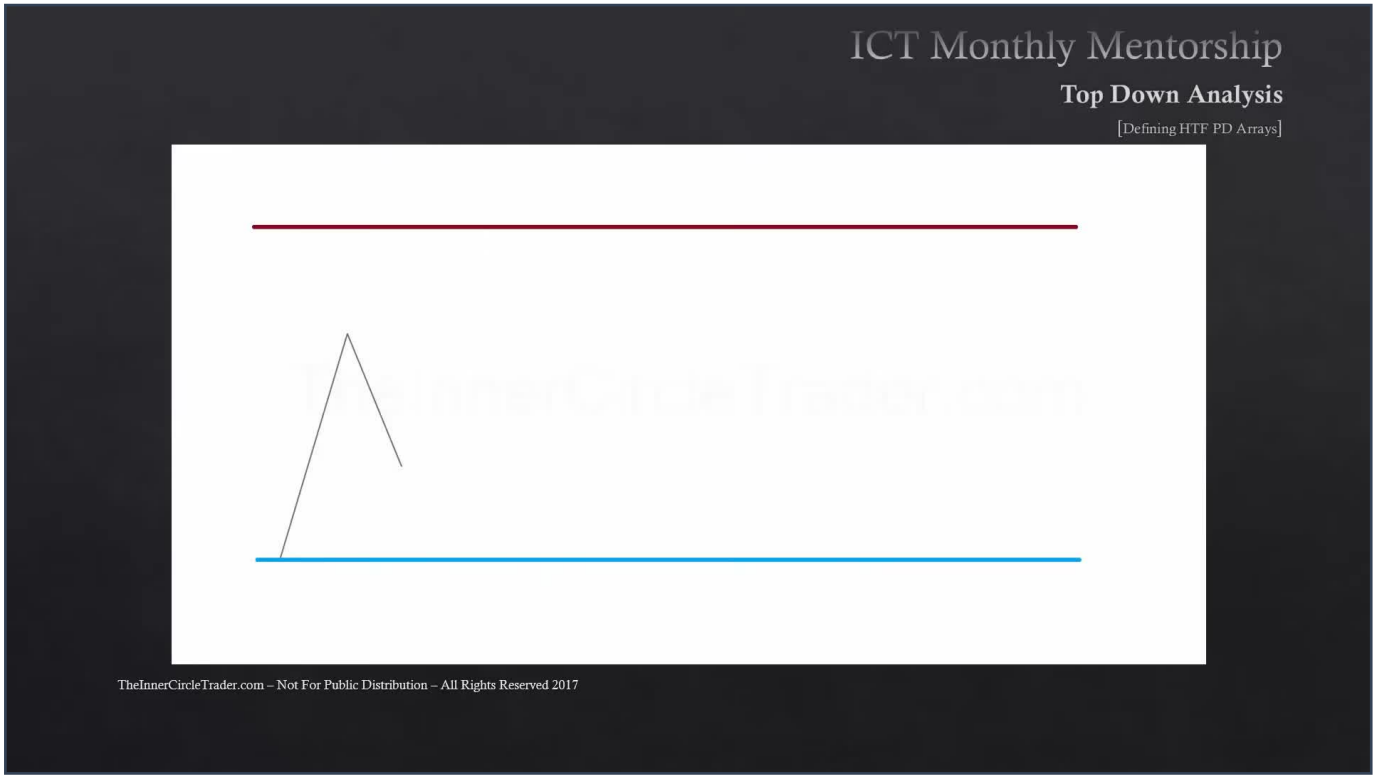
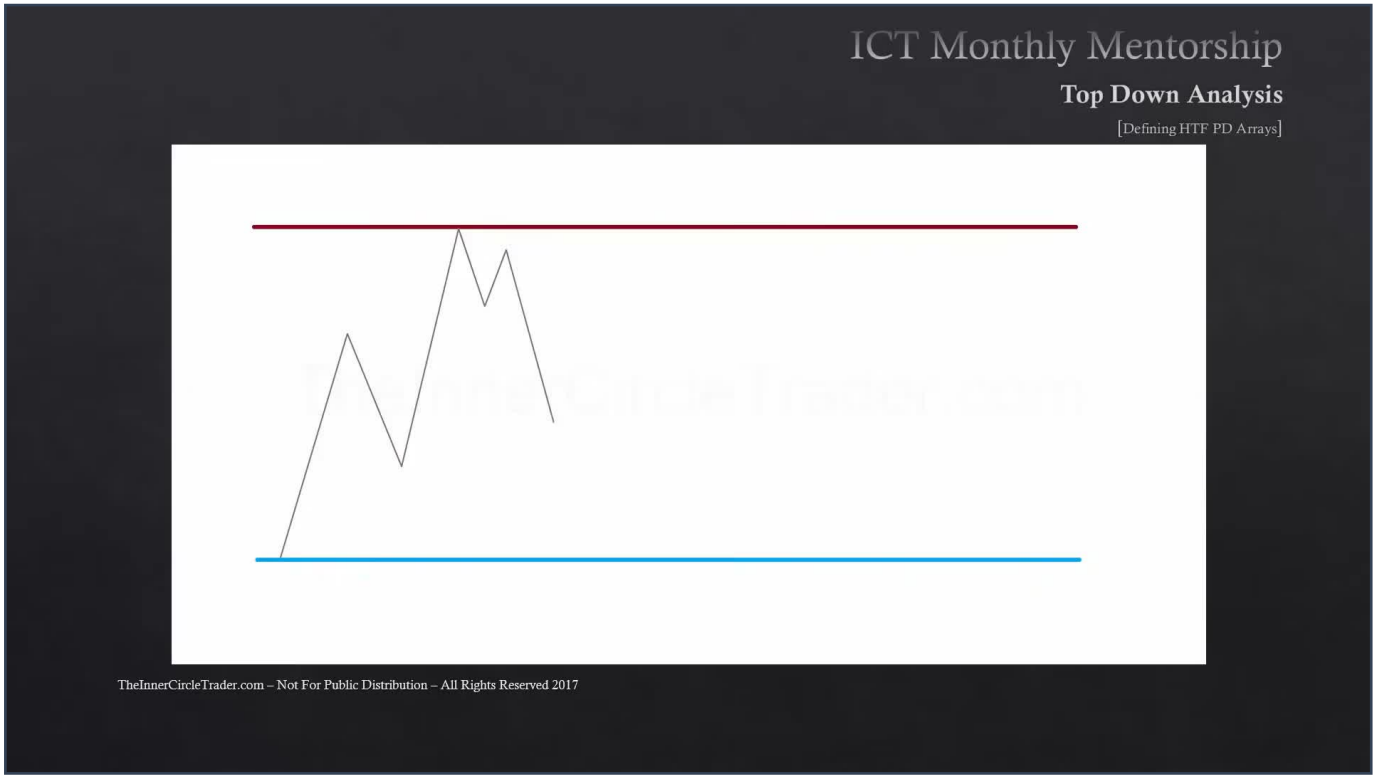


When analyzing charts, price should be viewed in terms of whether it's in a premium or a discount market.

- This lesson expands on earlier mentorship teachings by focusing on how to frame premium and discount on higher time frame charts using a hierarchy of PD Arrays.

- When price retraces and moves higher, hitting a resistance level, ICT expects a potential second pass towards that old high, which could result in a run through, a false break, or a failure swing. This differs from other traders who might expect an outright reversal.

- This structured approach to viewing premium and discount on HTF charts, using a specific hierarchy, is beneficial for all trading styles (day trader, scalper, position trader, short-term trader).

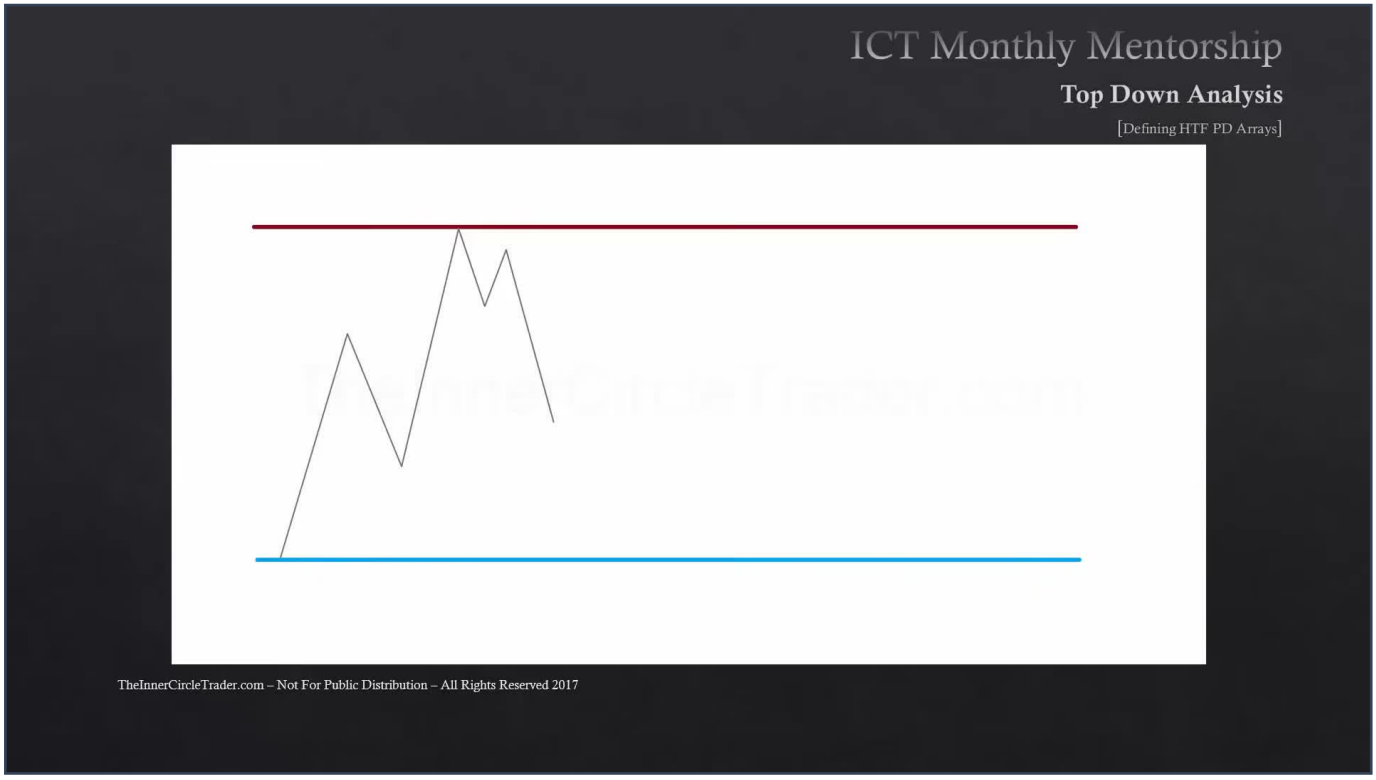


When anticipating lower prices, a reasonable expectation for a support level could be the secondary impulse leg that formed prior to the run into resistance.

- This support level could manifest as a bullish order block or an old short-term high on a lower time frame (e.g., a daily short-term high not visible on a monthly chart).

- When examining higher time frame charts, it is crucial to recognize that support and resistance levels exist within larger price swings that may only become apparent on lower time frames.

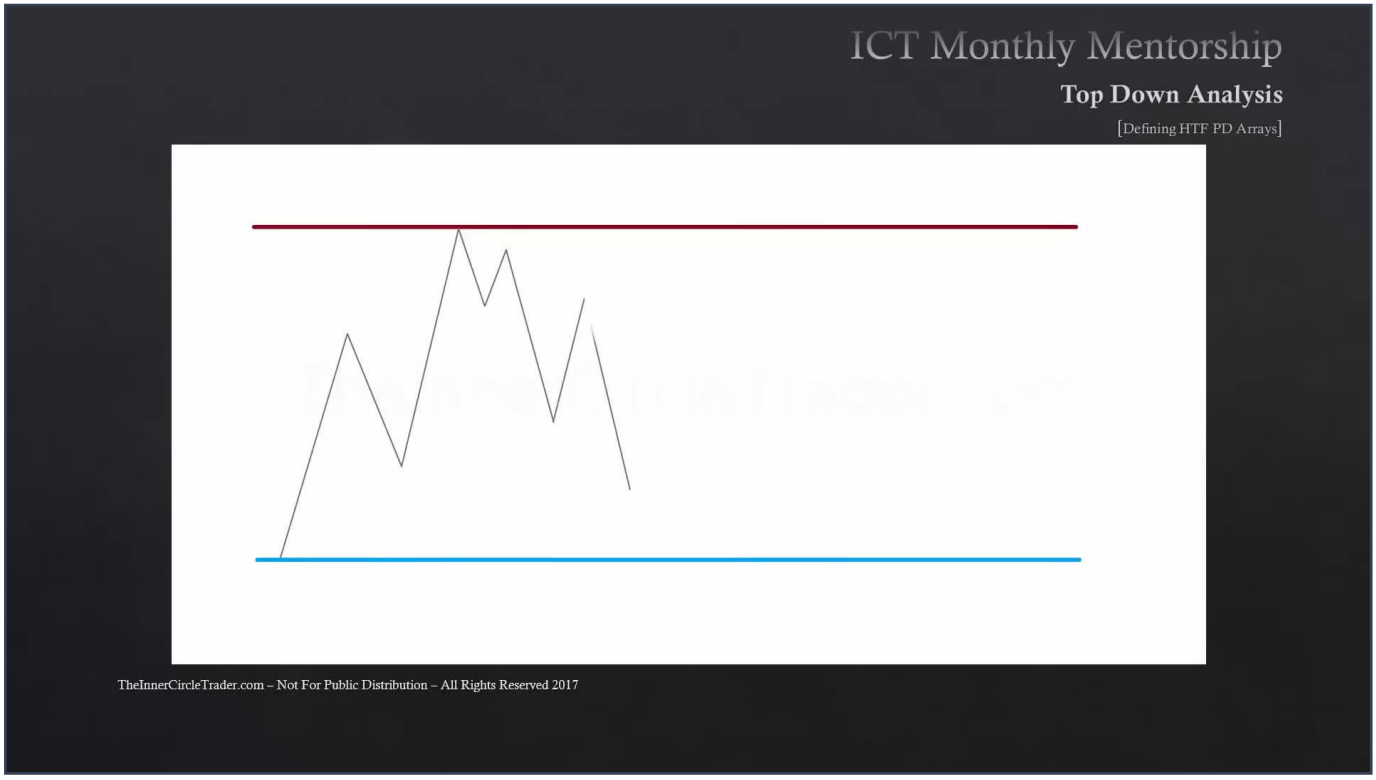
- For this analysis, the term 'lower time frame' refers strictly to the daily chart, as the focus is exclusively on higher time frame analysis (monthly, weekly, and daily).



While lower time frame levels are present, the monthly and weekly charts are primarily used to frame the overall market context using PD Arrays.

- For instance, if price continues to trade higher, a short-term swing low after a failure swing could act as a potential Mitigation Block.

- A Mitigation Block represents an area where long orders, which failed to make a new high and are now underwater, will seek to mitigate losses by covering long positions or going short. Smart money employs scaling in/out and hedging rather than simply cutting losses.



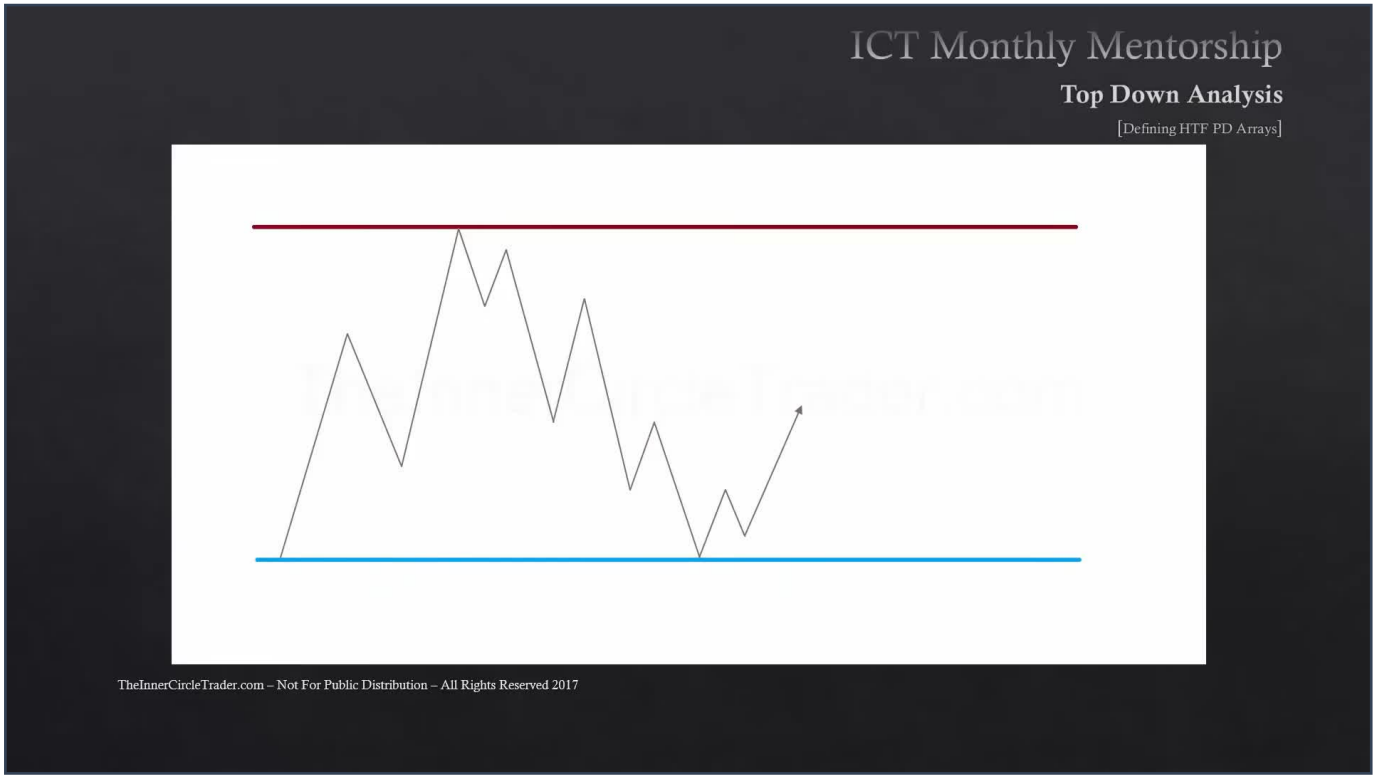
The market actively seeks liquidity below lows, specifically below the second impulse swing preceding a run into resistance.

- Once this liquidity is taken out, price theoretically could drive down to the original support level, but often it retraces to accumulate more orders at an old low.

- This creates another selling opportunity to target liquidity below a newly formed short-term low, leading back to a logical support area.

- The expectation then is for price to bounce. However, if price retraces again, some traders might expect the prior low to be violated. Sometimes this occurs, sometimes it doesn't.

- A failure swing can also set up a new long opportunity, leading to a rally.



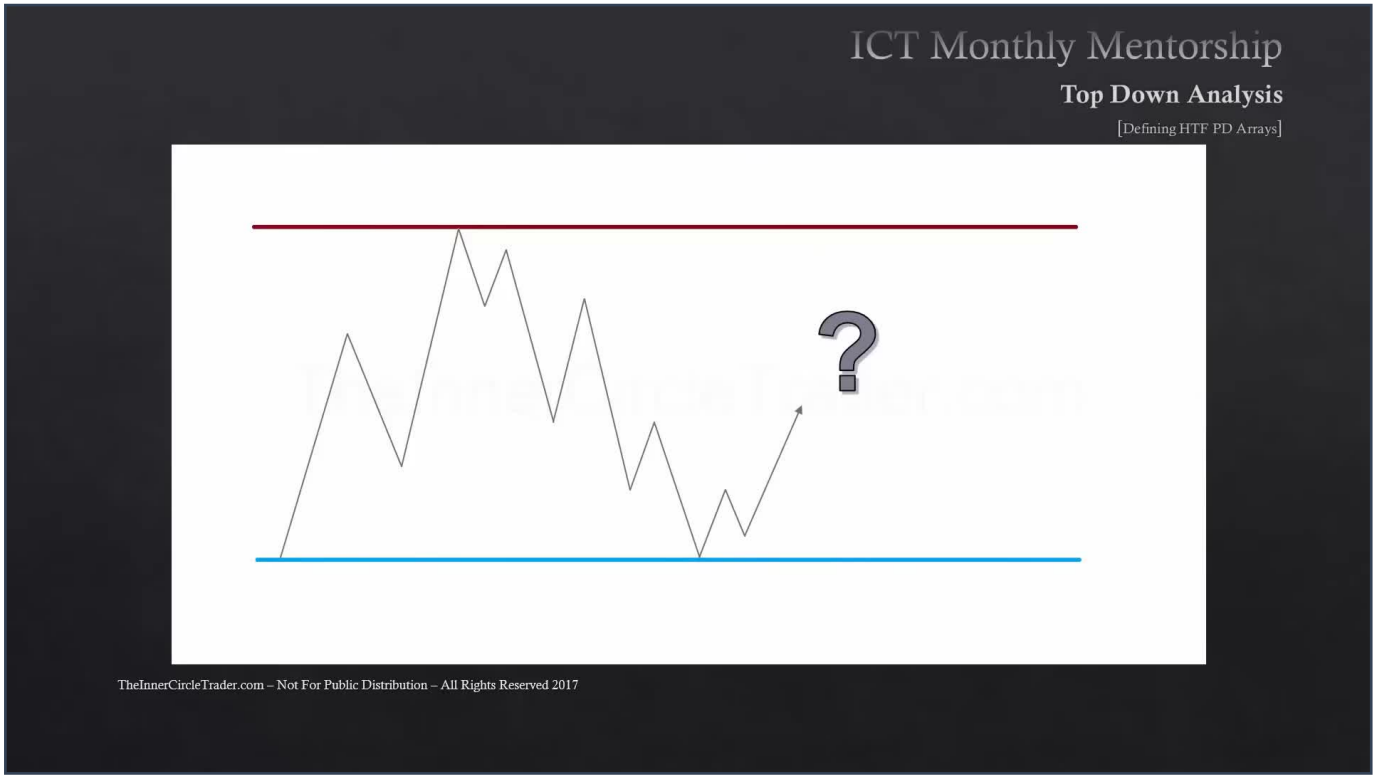
The fundamental understanding is that price moves from one level to the next, predominantly from discount to premium, and from premium to discount.

- The midpoint between the extremes (red line for premium/resistance and blue line for discount/support) is classified as Equilibrium or balance.

- Buying imbalance occurs when price moves above equilibrium or into the premium (resistance) level.

- Selling imbalance occurs when price moves below equilibrium or into the discount (support) level.

- The constant challenge for a trader when sitting in front of the charts is determining, 'Where would you expect to see price go next?'

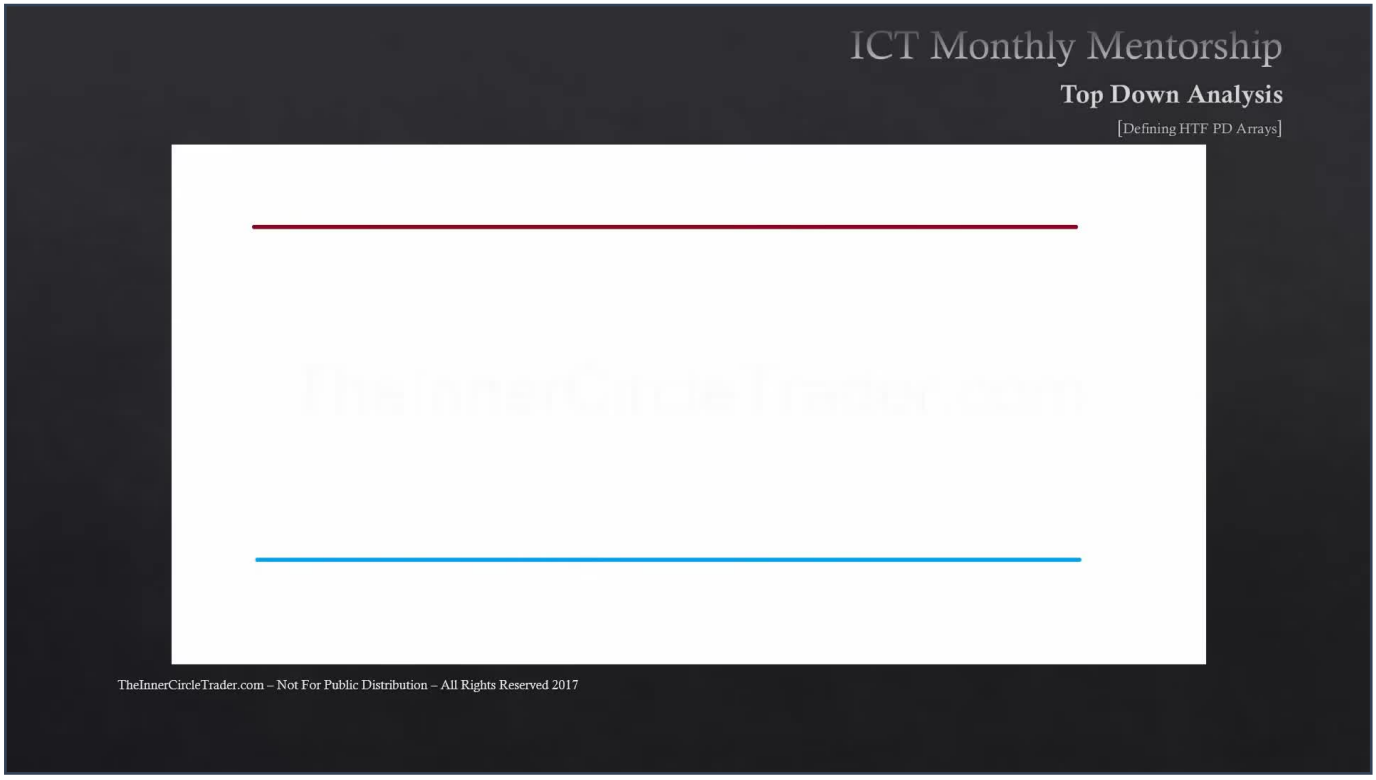


This discussion utilizes common ICT tools as setup parameters, focusing on the order in which they form on charts and how to use them based on current market conditions.

- This teaching serves as a foundational step towards understanding a specific Dollar-Yen long-term position trade example, previously discussed in Lesson 5 (Money Management for Higher Time Frame Analysis).

- Before delving into the practical example in Lesson 6.2, it is essential to establish the underlying principles of what to look for and why it is expected to unfold in a particular manner.

- The core thought process revolves around Premium (red line) and Discount (blue line). When price drops from an old high (premium), it is being repriced lower until it reaches a discount, after which a premium must be rebuilt.

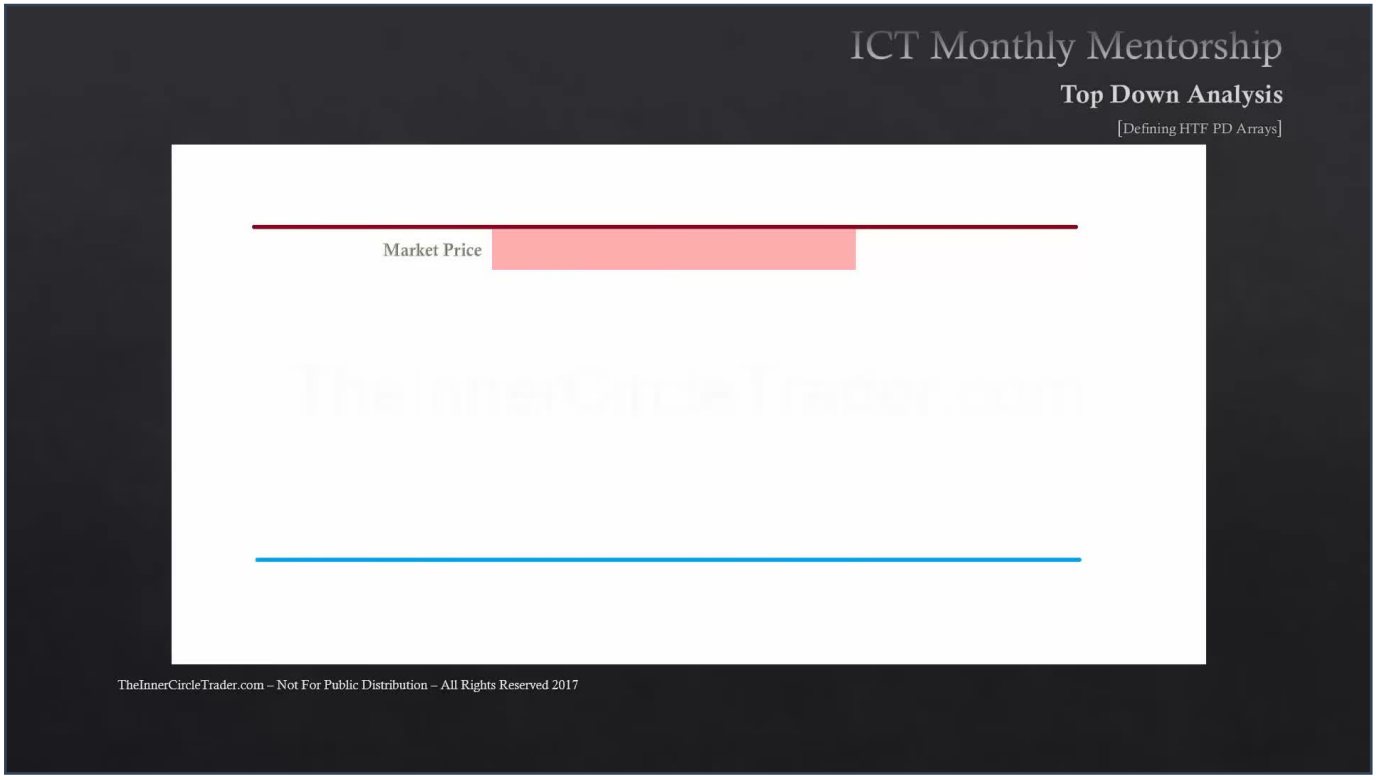


The algorithm continuously moves price back and forth between premium and discount conditions, seeking liquidity.

- This pattern persists until a significant market event creates a strong, one-sided imbalance, driving price in a specific direction.

- Consider a scenario where current market price is at a clear resistance level, with a discernible support level below it. This resistance could be an order block or simply an old high.

- The expectation is that price should move lower from this classic resistance level, but the time required for this expectation to materialize is unknown. This submission to time is a critical, often challenging, aspect of trading.

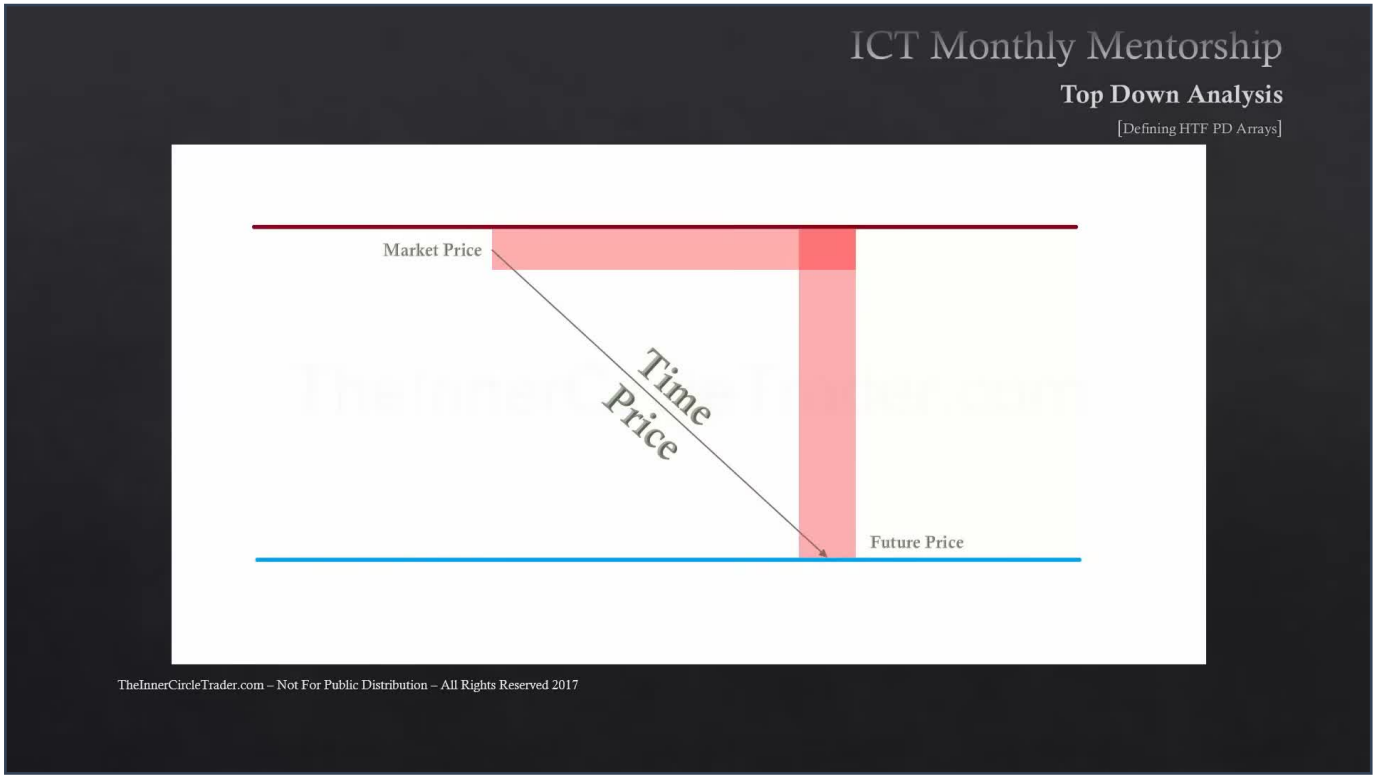


Submitting to the time aspect of trading is paramount. Time can be detrimental to traders who lack the understanding that setups may take a long time to unfold, leading to emotional and psychological errors.

- Profitability and opportunities arise when both time and price align, and the trader has patiently waited for this agreement.

- While waiting, traders must continuously study price, analyzing institutional order flow to determine if it supports the expectation of price moving to a discount level (e.g., a bullish order block to cover a short, or an old low to be run below).

- It is not about forcing one's will on price, but rather observing and understanding its narrative.



Price movement is never a straight line; there is always 'give and take.'

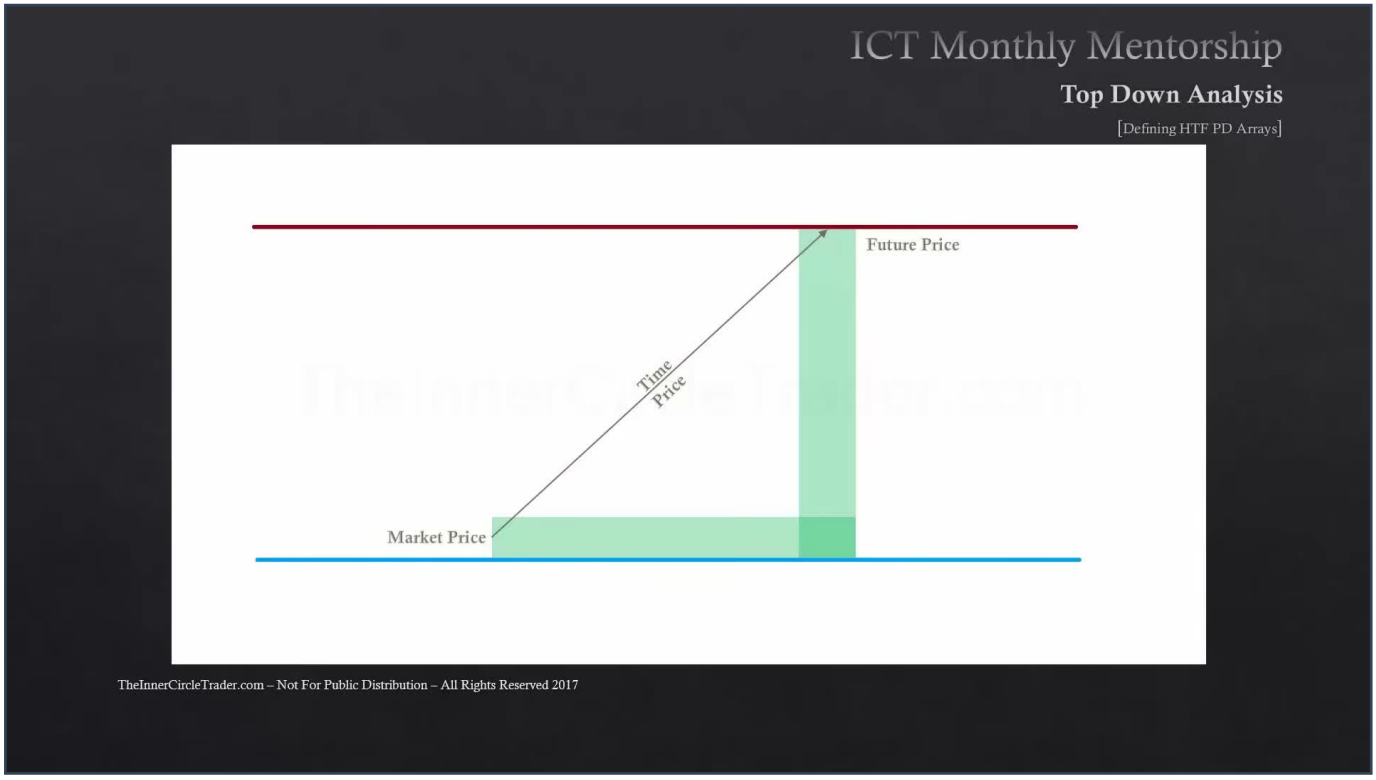
- Understanding where specific PD Arrays occur in this dynamic process is vital for several reasons:

  - Staying with a trade idea.

  - Avoiding being shaken out of positions prematurely.

- Having the confidence to hold until the objective is met, or until the stop loss is hit, signaling a move to the next opportunity.

- In a bullish scenario, the expectation is for market price to reach a premium level (higher than current price). Similar to bearish scenarios, the time required for this is unknown, demanding submission to that unknown duration.

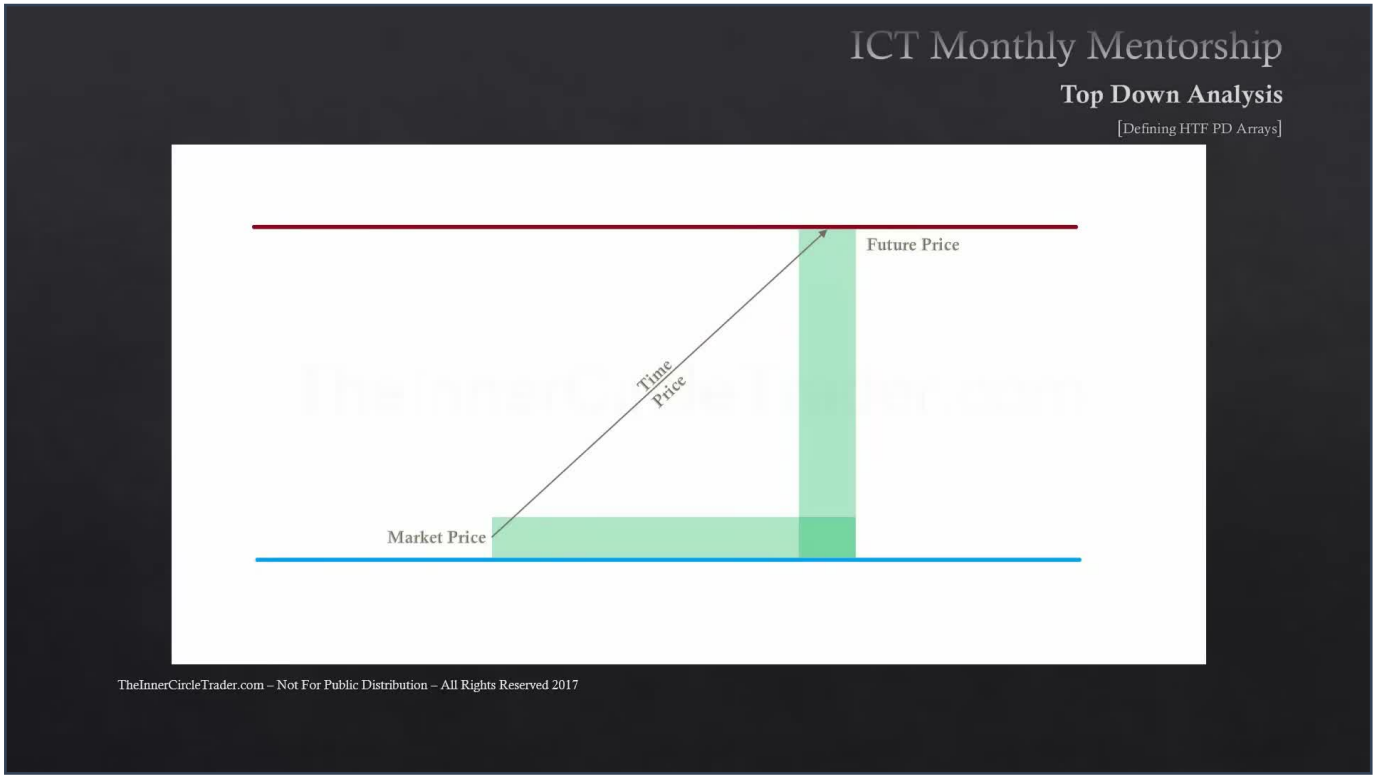


Beyond time submission, traders must constantly study and monitor PD Arrays to confirm institutional order flow that would drive price to the anticipated premium level.

- The understanding is that price will move from a discount to a premium because discount conditions cannot persist indefinitely. Price is ultimately established by sellers seeking profit, influenced significantly by central banks.

- Central banks, by steering economic sentiment through long-term interest rate adjustments (to stimulate or suppress economies), ultimately control price. Therefore, technical analysis must be used to align with these broader economic forces.

- If a support level is identified, the next question is, 'Where is the evidence that price will move to a premium market?' or 'Where is the resistance level that price is expected to trade to?'



Between the current market price and a future anticipated price, movement is never linear; it involves unknown timeframes and requires continuous price study.

- Just because a trader believes price is going somewhere doesn't guarantee it will; it could fail halfway and reverse.

- This teaching outlines PD Arrays in a specific, hierarchical order to provide clarity on what to expect and look for at any given point in the market.

- The goal is to answer questions like, 'Should I be looking for an order block or a gap right now?' by providing a clear framework.

MONTHLY CHART PREMIUM ARRAYS - HIERARCHY OF IMPORTANCE

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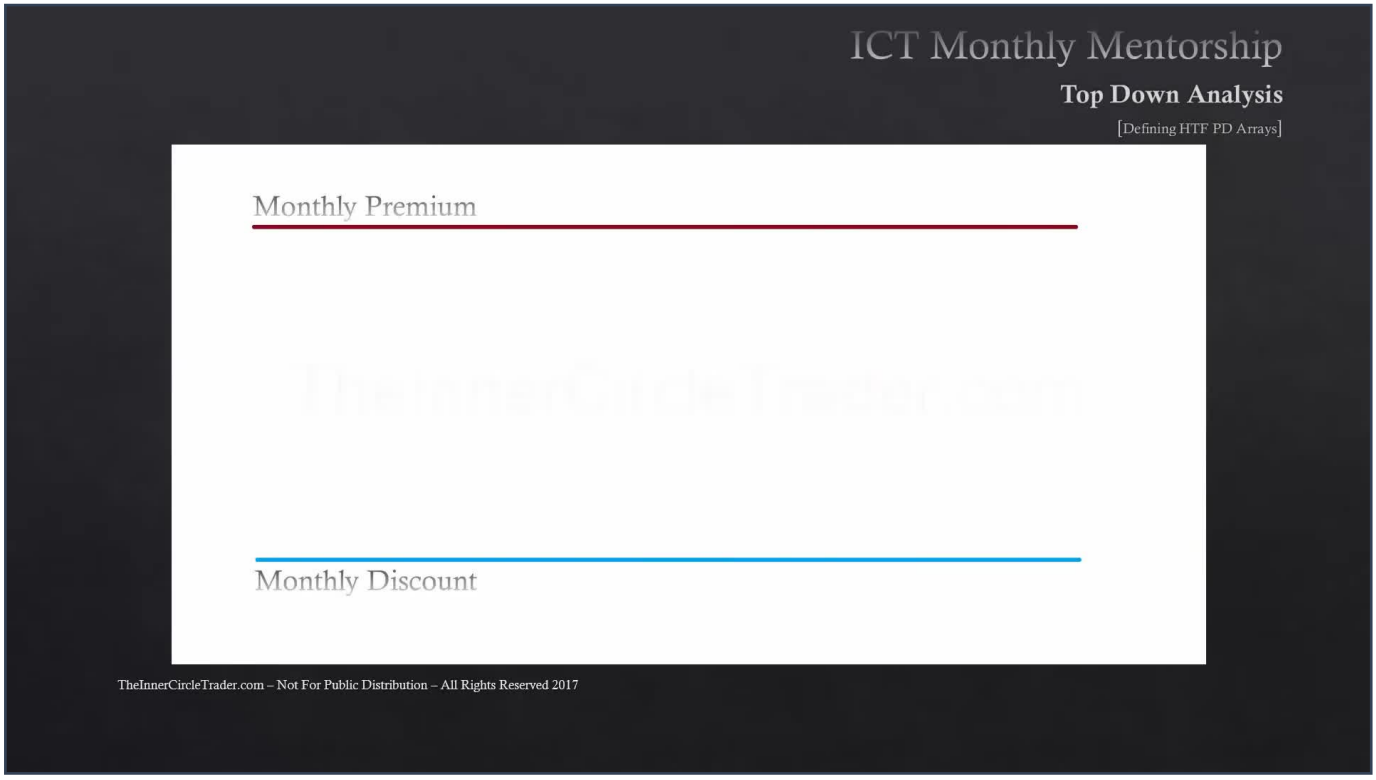

For a monthly chart, the current trading range is defined by the most recent old high (premium) and old low (discount). The halfway point is Equilibrium.

- When looking for arrays above equilibrium in a premium market (i.e., areas of potential resistance or reversal for a bearish move), the hierarchy in descending order of importance (from the highest significance/value in the premium range down to the lowest) is:

- Old High / Old Low (the actual wick highs/lows)

- Rejection Block (just above the candle's body, not the wicks)

MONTHLY CHART PREMIUM ARRAYS - DESCENDING ORDER AND ENCOUNTER SEQUENCE

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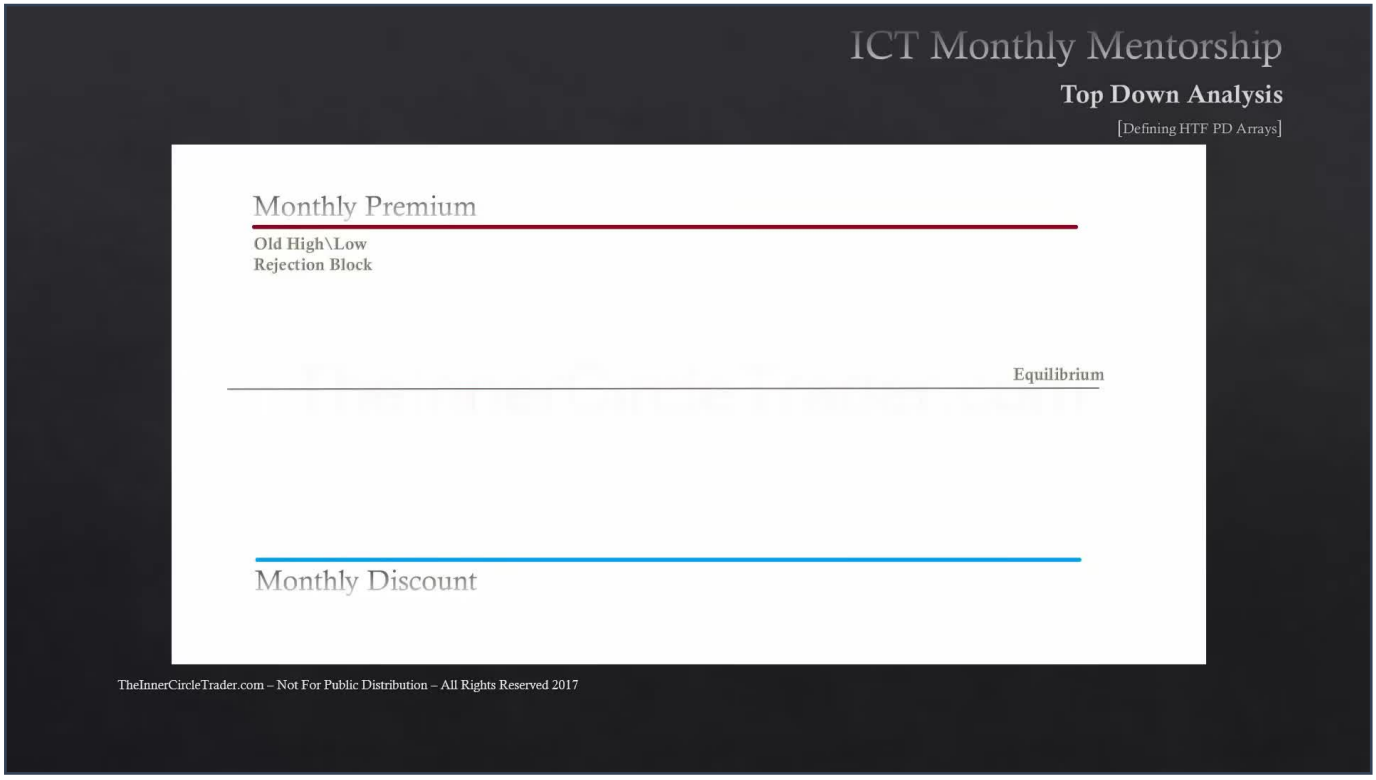

Continuing the list of premium arrays in descending order of importance:

- Bearish Order Block

- Fair Value Gap

- Liquidity Void

- Bearish Breaker

- Mitigation Block (lowest in the premium array hierarchy)

When anticipating price movement upwards from equilibrium into a premium market (looking for selling opportunities), the sequence in which these arrays are typically encountered and considered is reversed (from lowest array to highest, with certain precedence rules):

- First, look for the nearest Mitigation Block. If none exists:

- Look for the nearest Bearish Breaker. If one exists, price would reasonably be expected to trade up to it, then sell lower. If no Breaker:

- Look for a Liquidity Void (a range that needs to be closed). If no Void:

- Look for a Fair Value Gap. If no Gap:

- Expect price to trade to a Bearish Order Block, which is a highly probable array.

PRIORITIZATION OF PREMIUM PD ARRAYS (ENCOUNTER & SIGNIFICANCE)

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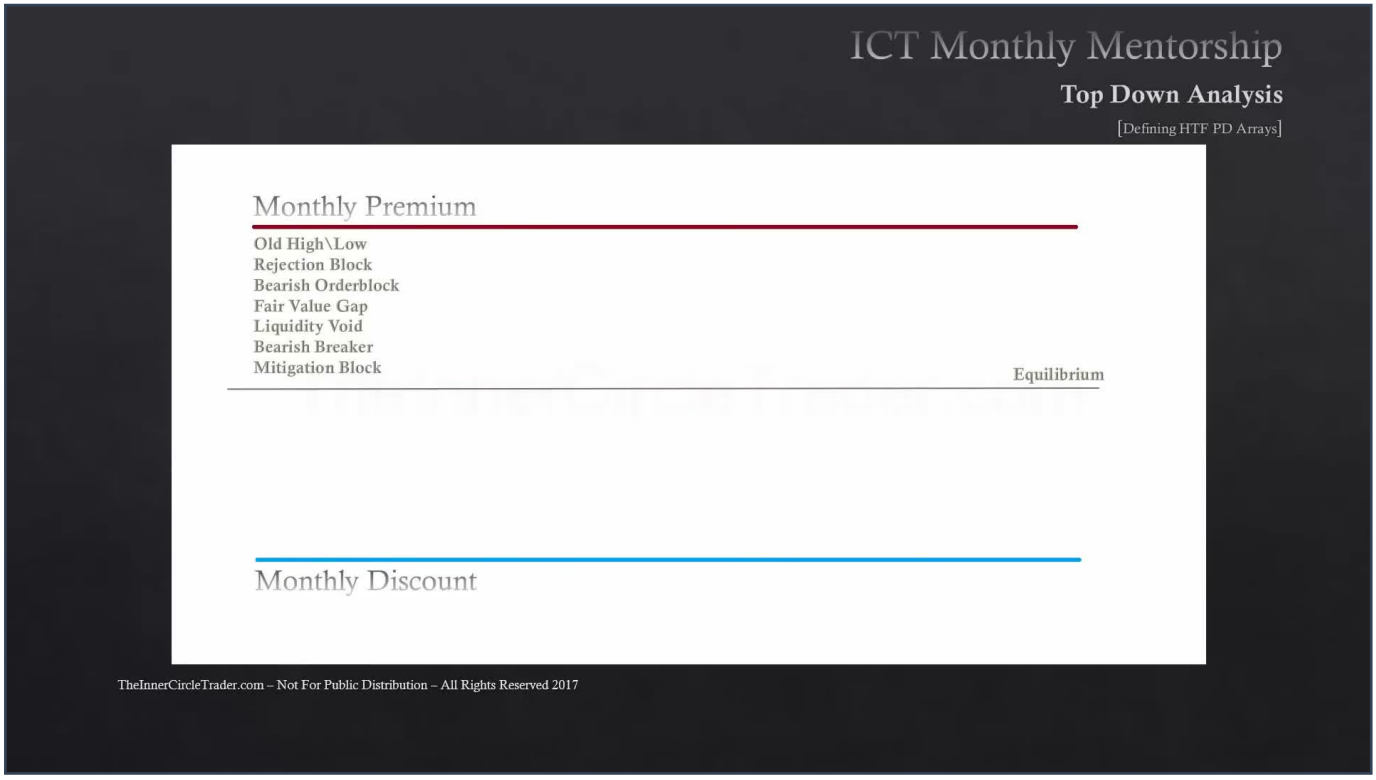


The provided hierarchy clarifies the order of significance for premium arrays, but the order of encounter when price moves up from equilibrium is key:

- Mitigation Blocks are typically the lowest in the premium and are the first to be considered.

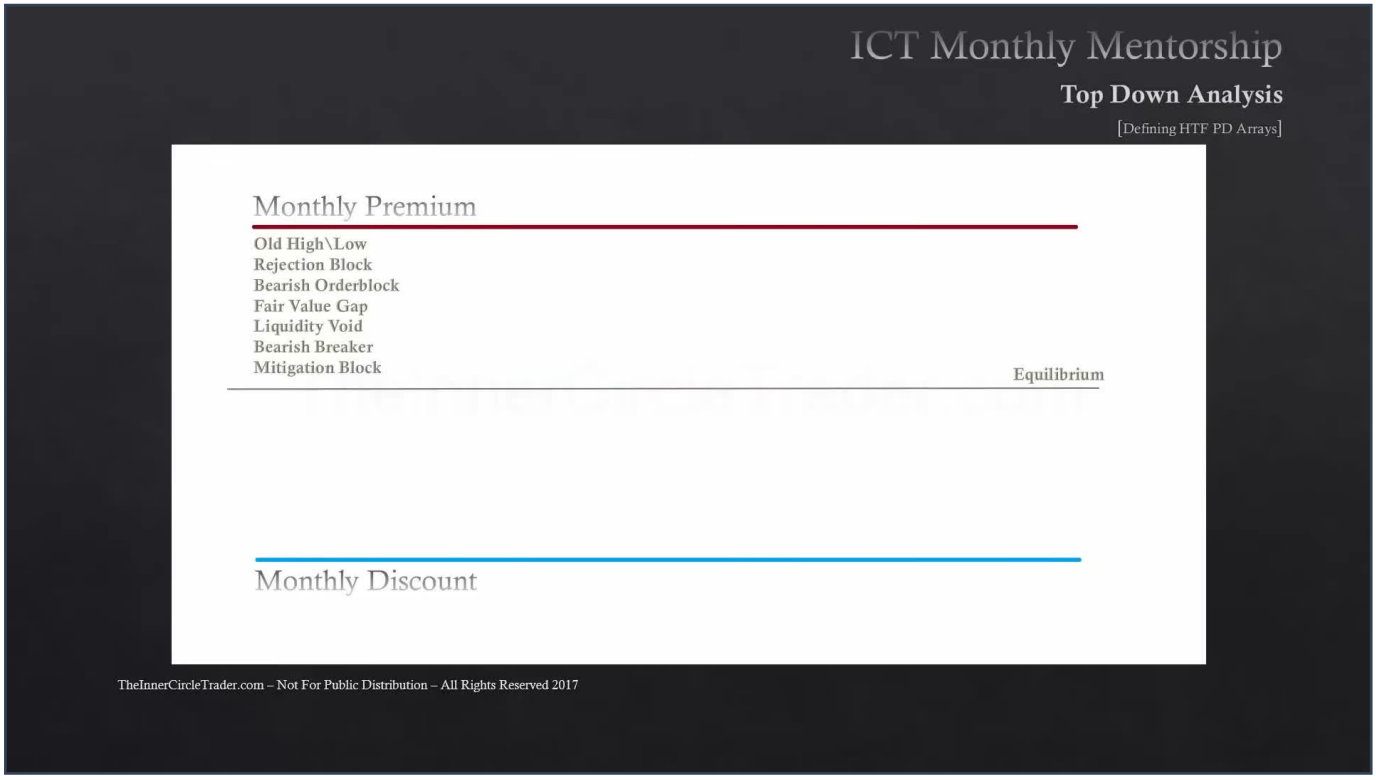
- Mitigation Blocks and Breakers are similar, but Mitigation Blocks can occur lower than Breakers.

- A Bearish Breaker is a down candle immediately preceding a second high (often a Turtle Soup) that takes out an old high. If price retraces to this down candle, it acts as a strong resistance.

- Breaker Precedence Rule: When a Bearish Breaker is present, it will most likely prevent price from reaching higher premium arrays, such as a Bearish Order Block. Therefore, if a Bearish Breaker is identified, do not expect the Bearish Order Block to be hit, as the Breaker will likely keep price lower and take precedence over other arrays on the list.

- If no Breaker is present, a Liquidity Void may be closed, or price may move to a Fair Value Gap or a Bearish Order Block. But the Breaker, even though lower on the list, is the first thing to encounter and takes precedence when price is below it.

FURTHER PREMIUM ARRAY CONSIDERATIONS & SUMMARY OF BEARISH SEQUENCE



If an obvious Bearish Order Block is absent (rare, but possible with many wicks in market action), a Rejection Block would be considered. This involves a movement just above the candle bodies, indicating a very high premium.

- Ultimately, a run above an Old High or a return to a historical Old Low (which acts as resistance if price rallies significantly to it from a downtrend) can be expected at the deepest premium levels.

- Summary of Encounter Order for Bullish Movement from Discount towards Premium (for potential short entries):

  - Start with the lowest array (closest to equilibrium) and work upwards.

  - Mitigation Block: First objective, a potential selling point.

- Bearish Breaker: Can set the tone for another leg lower or stop bullish rallies. This array takes precedence over everything else below it, often preventing price from reaching higher arrays like voids or gaps.

COMPREHENSIVE HIERARCHY OF PREMIUM PD ARRAYS (MONTHLY)

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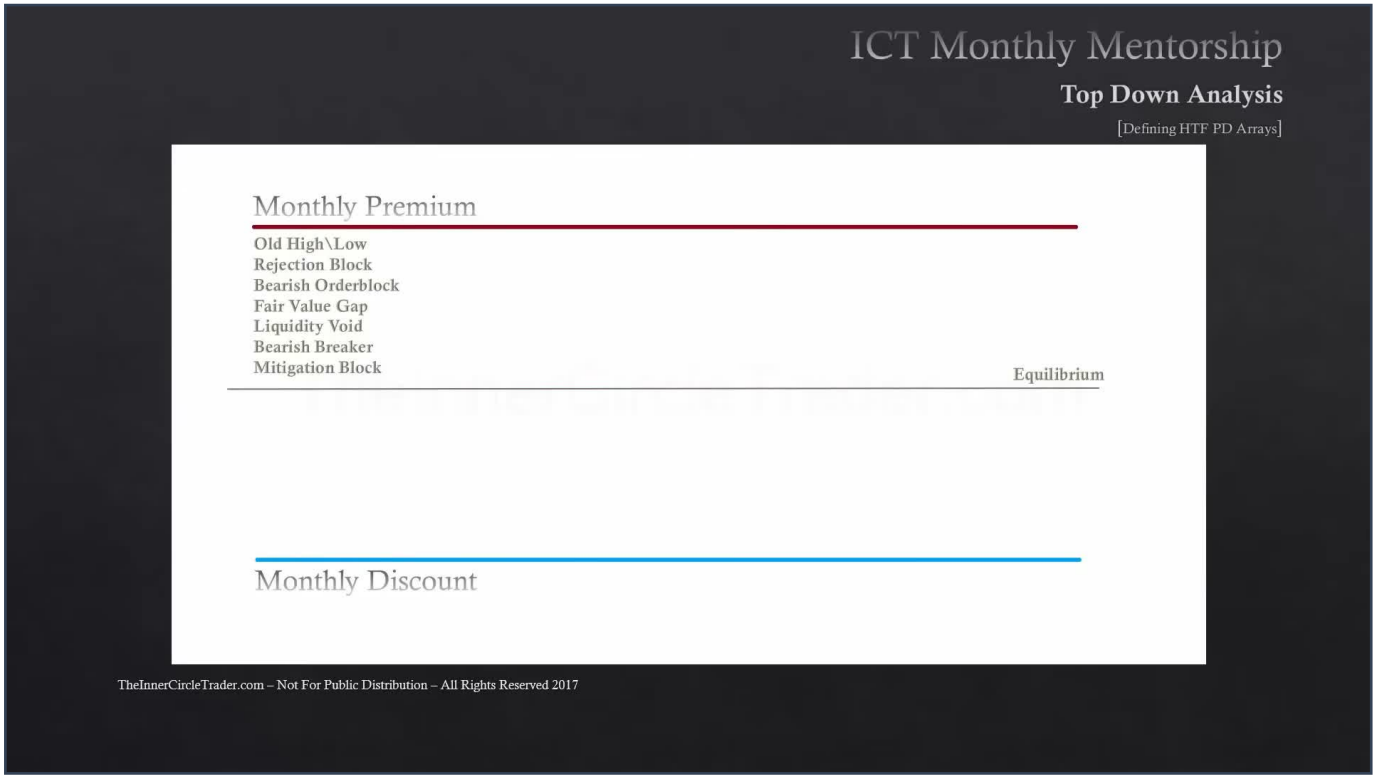

When looking for areas where price may go up to (i.e., from equilibrium into premium, seeking selling opportunities or bullish targets), the arrays are encountered from the lowest up. However, the order of importance/significance (from highest in the premium range down to lowest) is:

- Old High / Old Low

- Rejection Block

- Bearish Order Block

- Fair Value Gap

- Liquidity Void

- Bearish Breaker

- Mitigation Block

- The farther you go up this list, the deeper you are entering into a premium market.

ENCOUNTER ORDER AND PRECEDENCE IN PREMIUM ARRAYS

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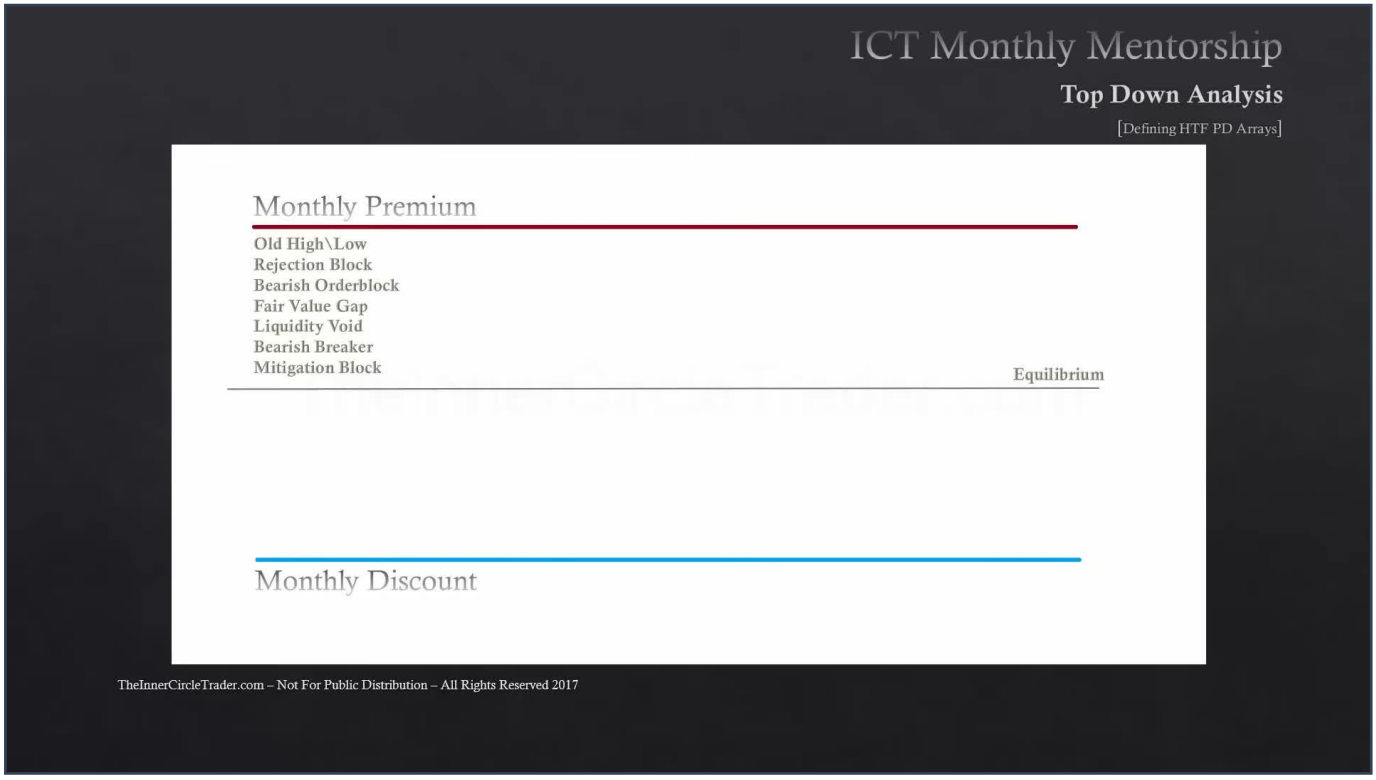

When searching for premium arrays from equilibrium, you start by looking for the Mitigation Block (the first, most likely one to encounter if present).

- If not present, look for the Bearish Breaker. If present, it often takes precedence, keeping price lower and potentially leaving a Liquidity Void open or a Fair Value Gap unfilled.

- If neither a Breaker nor a Void (due to efficient price delivery) exists, then look for a Fair Value Gap. If no Gap, then expect price to trade to a Bearish Order Block.

- Key Precedence: The Bearish Breaker takes precedence over all other arrays when price is below it, meaning it's unlikely to close voids or fill gaps if a breaker is encountered first.

MONTHLY CHART DISCOUNT ARRAYS - ENCOUNTER ORDER AND HIERARCHY

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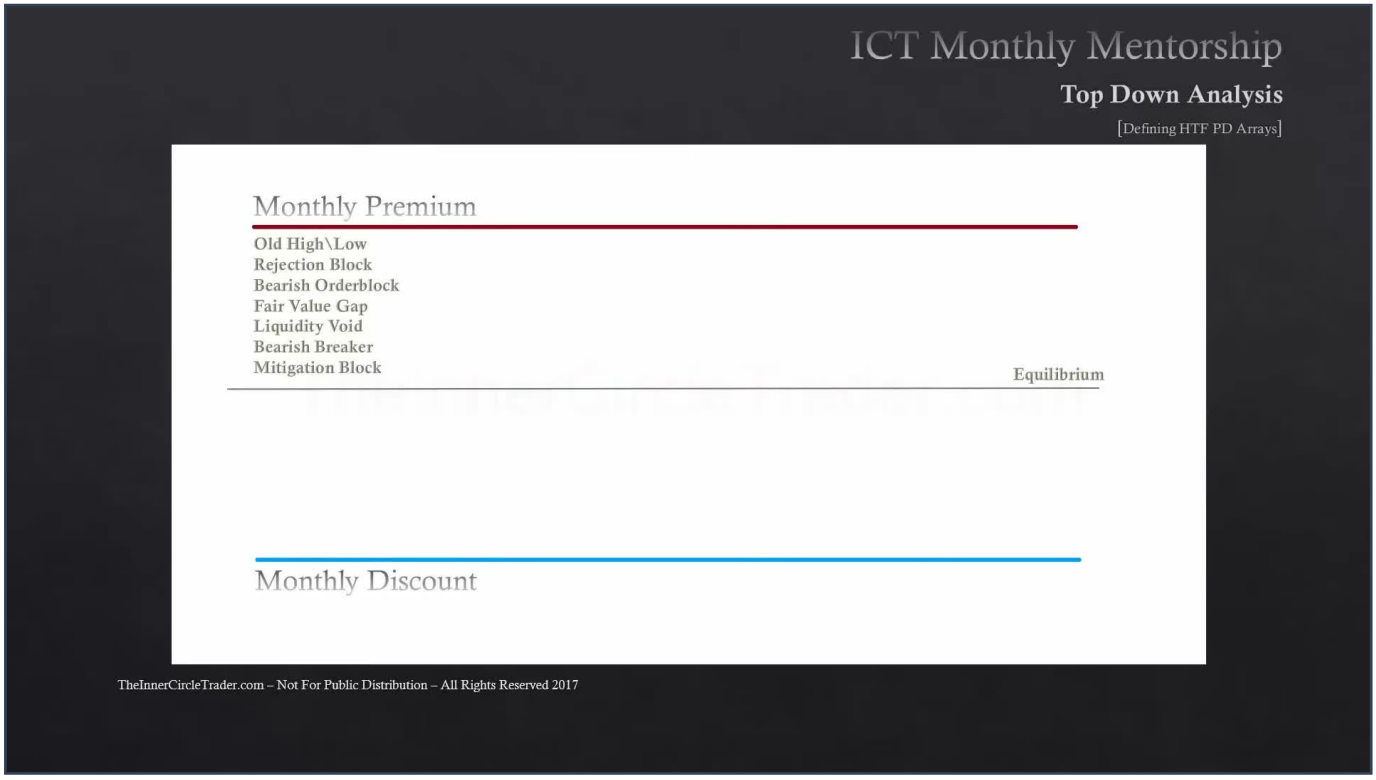

When anticipating price movement lower, into a discount or support level, the expectation is to encounter PD Arrays in a specific order:

- The very next PD Array expected to be encountered is a Mitigation Block (bullish).

- If no Mitigation Block appears, the next expected PD Array is a Bullish Breaker.

- This is the anticipated order when prices are going lower, observed by looking to the left side of the chart for whether these arrays appear in price action.

- These arrays are listed from equilibrium downwards, in the expected order of encounter for a discount market:

  - Mitigation Block (bullishly)

  - Bullish Breaker

PRIORITIZATION OF DISCOUNT PD ARRAYS (ENCOUNTER & SIGNIFICANCE)

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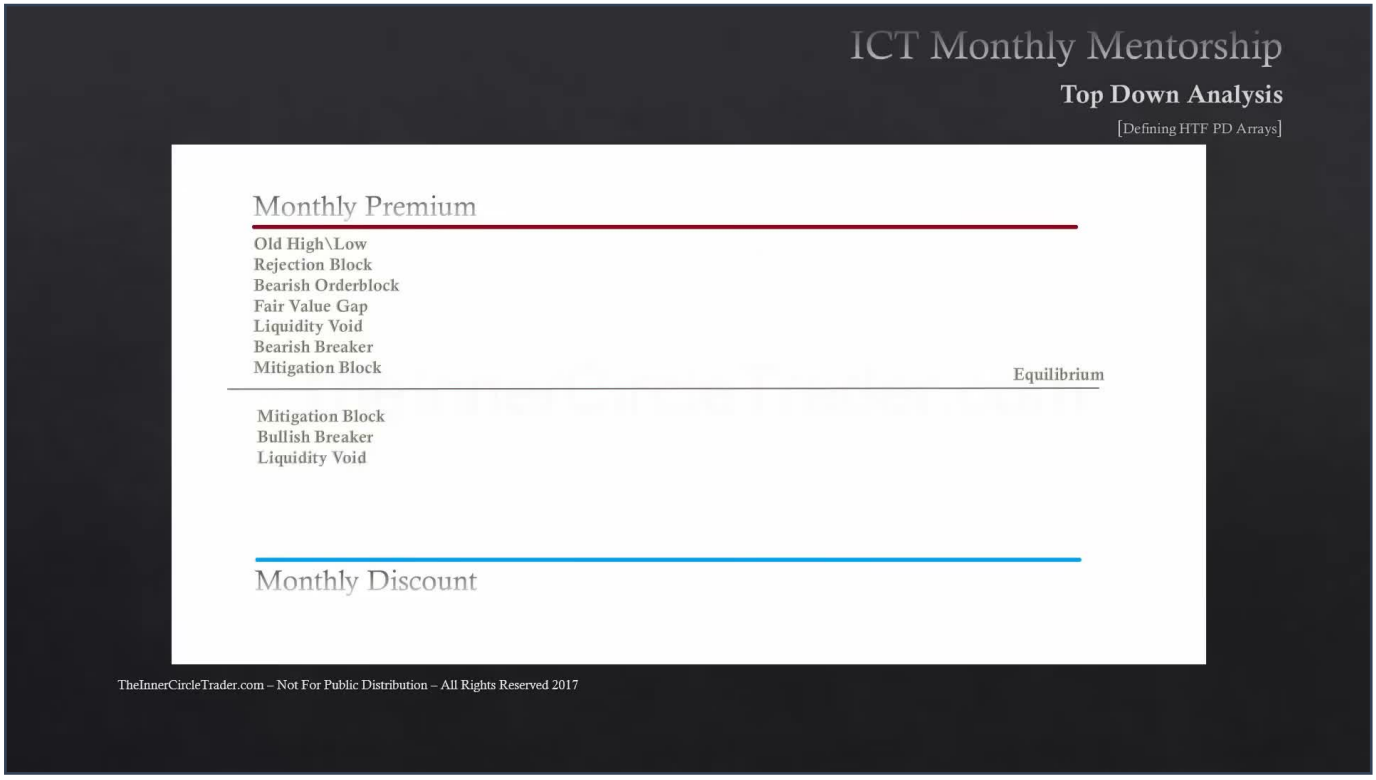


Continuing the hierarchy and encounter sequence for discount arrays:

- Bullish Breaker Definition: An up candle situated between two swing lows, where the most recent swing low is lower than the previous one, often formed after a stop run. This up candle acts as a support level when price retests it.

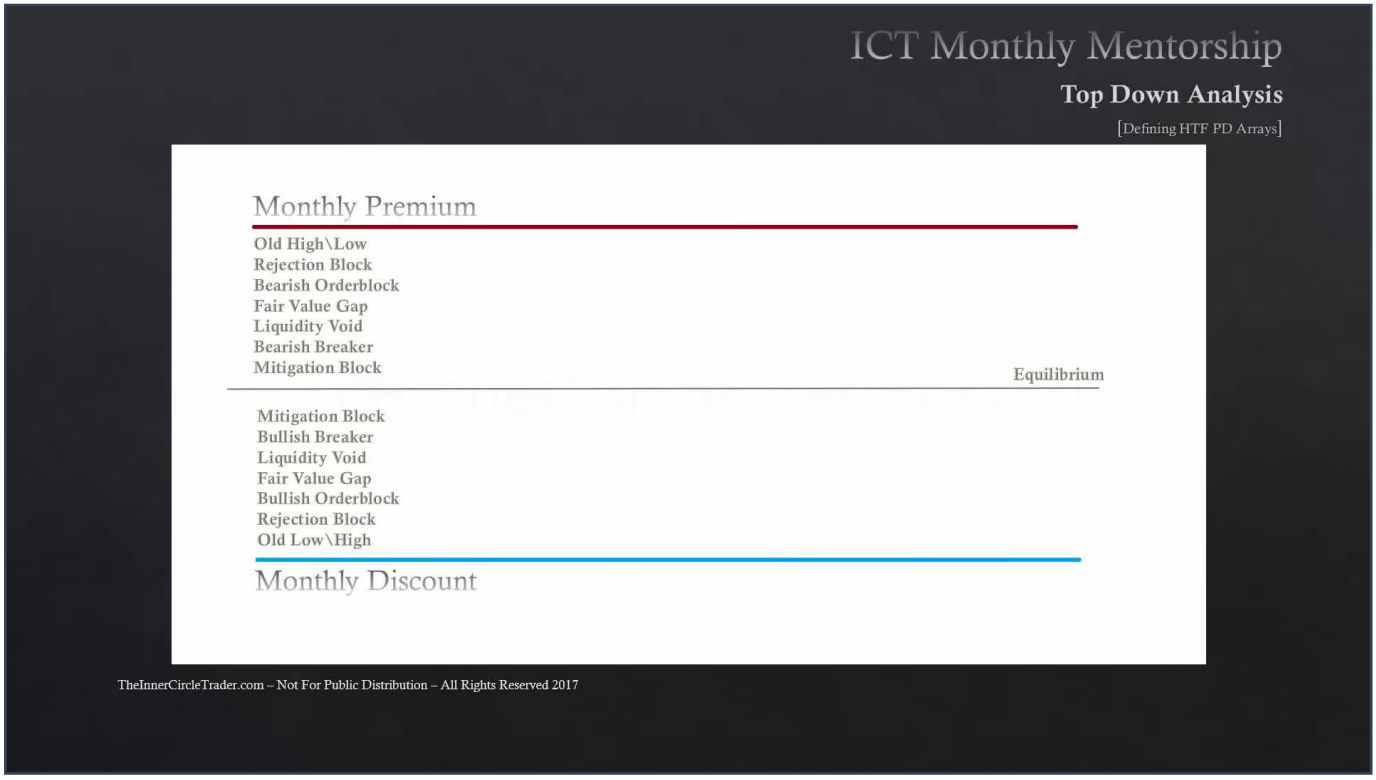
- Breaker Precedence Rule: If a Bullish Breaker is present in price action, it is highly probable that any Liquidity Void below it will remain unfilled. While price can overtake the breaker, anticipate it not going below the breaker and leaving the void intact.

- If no Breaker and no Void, the next anticipated array is a Fair Value Gap (a common gap where price was delivered on only one side).

- Then, a Bullish Order Block. Without a Breaker, a void or gap would typically be filled down to the Bullish Order Block.

- Below the Bullish Order Block is a Rejection Block (just below the lowest candle's body, not including wicks).

- Ultimately, the deepest form of discount is an Old Low or a Historic High (acting as support).



This framework provides clarity for market analysis:

- Monthly Premium Arrays: Primarily used for framing bearish premium array trades or identifying bullish targets at these resistance levels.

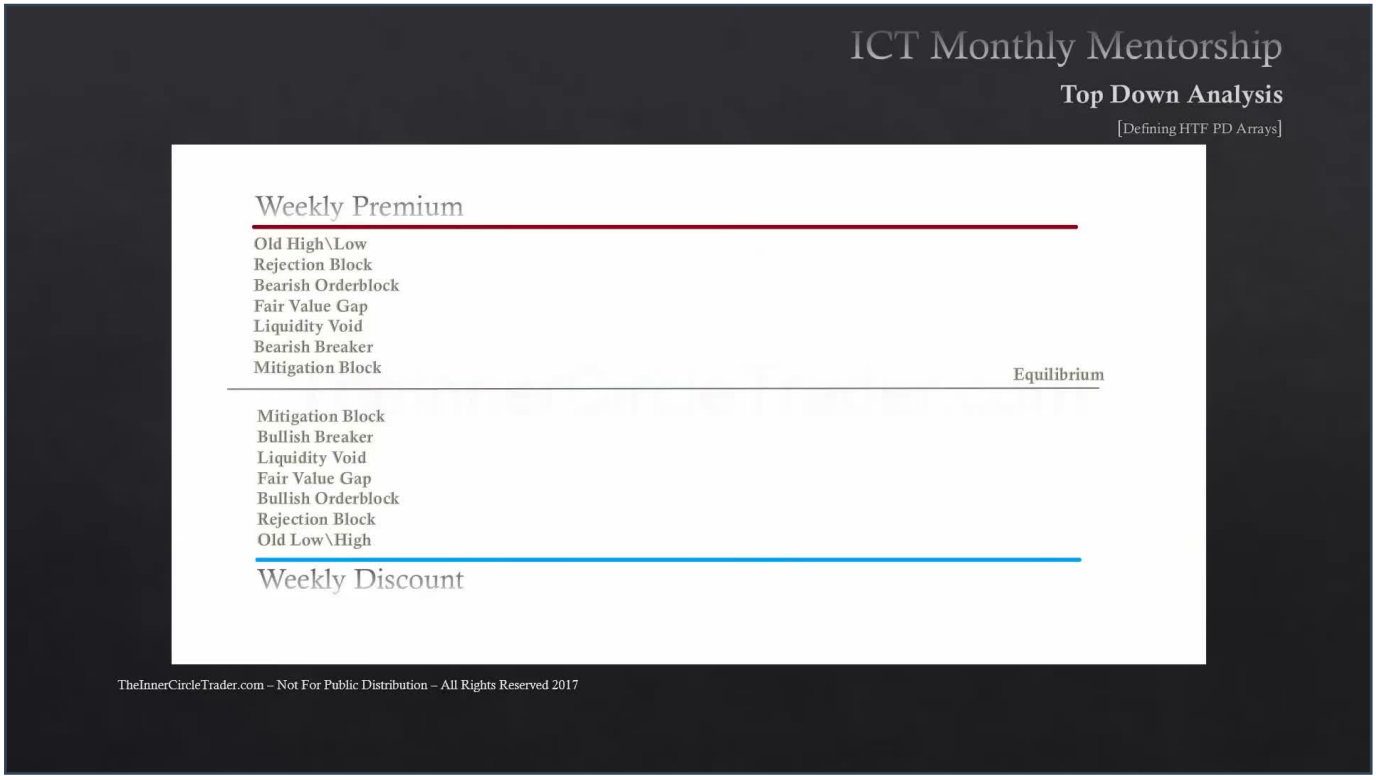
- Monthly Discount Arrays: Primarily used for framing bullish discount array trades, identifying bearish targets, or looking to initiate long positions.

- Weekly Chart Premium Arrays: The same hierarchy and principles apply to the weekly chart.

- When expecting higher prices from equilibrium, the initial arrays to look for are a Mitigation Block or a Bearish Breaker. If a Bearish Breaker is present, it's unlikely price will move higher than it.

- If no Breaker, look for a Liquidity Void to close, or a Fair Value Gap. If neither is present, price may trade directly to a Bearish Order Block.

- If no strong Bearish Order Block, look for a Rejection Block (above candle bodies with long wicks) or, ultimately, a run above an Old High or return to a historical low.



The same hierarchy and principles for PD Arrays apply to the daily chart as for the monthly and weekly charts.

- When at equilibrium on the daily chart and expecting lower prices, the first arrays to look for on the left side of the chart are Mitigation Blocks (bullish) or a Bullish Breaker.

- Breaker Precedence: Both bullish and bearish breakers hold precedence over other arrays. If a breaker is present, price is less likely to revisit or consider arrays that are beyond the breaker's influence (e.g., lower than a bullish breaker or higher than a bearish breaker).

- The next lesson, 6.2, will provide a practical example of applying this comprehensive information using the Dollar-Yen pair for higher time frame analysis.